Multiple Choice Questions

1. Which of the following best characterizes traditional universal banking (German model)?

a) Complete separation of commercial and investment banking

b) Focus only on retail banking

c) Integration of commercial and investment banking with large equity stakes in industrial companies

d) Specialization in investment banking only

2. Which type of banking system historically provided more reliable, affordable credit for industrial growth?

a) Market-based system

b) Universal banking system

c) Pure investment banking

d) Pure commercial banking

3. What was a key characteristic of the U.S. banking system between 1933–1999?

a) Universal banking was encouraged

b) Strict separation between commercial and investment banking

c) Banks could freely engage in various financial activities including underwriting

d) Banks could hold large equity stakes in industrial companies

4. The reversal of banking separation in the U.S. led to:

a) Smaller banks

b) Formation of Bank Holding Companies

c) Reduced competition

d) Increased regulation

5. Which country was the first to introduce a national deposit insurance system?

a) UK

b) Germany

c) USA

d) China

6. The Glass–Steagall Act of 1933:

a) Introduced universal banking

b) Separated investment and commercial banking

c) Created the Federal Reserve

d) Established interstate banking

7. Which U.S. regulatory reform was enacted in 2010 to address weaknesses exposed by the Global Financial Crisis?

a) Sarbanes–Oxley Act

b) Dodd–Frank Wall Street Reform and Consumer Protection Act

c) Glass–Steagall Act

d) Basel II Implementation Act

8. What key change occurred in U.S. banking behavior after the GFC due to stricter regulation?

a) Banks increased capital ratios and reduced proprietary trading

b) Banks expanded subprime mortgage lending

c) Banks relied more heavily on short-term wholesale funding

d) Banks reduced customer deposits in favor of interbank loans

9. During the COVID-19 pandemic (2020–2022), how did U.S. banks respond to the crisis?

a) Massive losses and bailouts due to weak capital buffers

b) Tightened credit supply and reduced digital access

c) Maintained stability due to strong capital and liquidity; accelerated digital banking adoption

d) Shifted toward speculative trading to offset interest rate cuts

10. What is a key disadvantage of universal banking?

a) Higher transaction costs

b) Multiple banking relationships needed

c) Complex risk management

d) Limited services available

11. The UK's deposit insurance scheme currently protects deposits up to:

a) £50,000

b) £75,000

c) £85,000

d) £100,000

12. The U.S. banking system is characterized by:

a) Few very large banks only

b) Many small banks but assets concentrated in large banks

c) Equal distribution of assets among banks

d) Dominance of medium-sized banks

13. The current reserve requirement ratio in the U.S. (since March 2020) is:

a) 10%

b) 5%

c) 0%

d) 15%

14. The main purpose of ring-fencing in UK and EU banking is to:

a) Promote universal banking

b) Separate retail and investment banking

c) Encourage bank mergers

d) Increase bank profits

15. The moral hazard problem in deposit insurance refers to:

a) Banks becoming too careful with lending

b) Depositors not monitoring bank risk-taking

c) Banks refusing to make loans

d) Government oversight of banks

16. After the founding of the People's Republic of China in 1949, what was the main structural change in the Chinese banking system?

a) Privatization of state banks

b) Nationalization and consolidation into a single central bank

c) Creation of a monobank system under the People's Bank of China (PBoC)

d) Liberalization of foreign bank entry

17. What major reform in the 1980s led to the diversification of China's banking sector?

a) Allowing private banks to hold foreign exchange reserves

b) Establishment of the "Big Four" state-owned commercial banks

c) Separation of commercial and central banking functions of the PBoC

d) Introduction of stock exchange–listed joint-stock banks

18. Which of the following best describes the recent global expansion of Chinese banks?

a) Concentrated mainly in Western Europe

b) Rapid growth in cross-border lending to emerging markets under the Belt and Road Initiative (BRI)

c) Limited to trade finance activities

d) Focused on mergers within China

19. In the Chinese banking system, shadow banking primarily serves:

a) State-owned enterprises

b) Small businesses

c) Foreign investors

d) Large corporations

20. Changes in regulation about interstate banking in the U.S. were prompted by:

a) International competition

b) Technological advancement

c) Vulnerability to local economic crises

d) Consumer demand

21. A key characteristic of the Chinese banking system is:

a) Complete private ownership

b) Focus on small businesses

c) State ownership of major banks

d) Market-based banking model

22. Which of the following is a downside of the Chinese banking system?

a) Difficulty for small businesses to obtain loans

b) Too little infrastructure spending

c) Lack of state control

d) Excessive focus on consumer lending

23. Chinese cross-border lending is most closely correlated with:

a) International trade

b) Outward Foreign Direct Investment (OFDI)

c) Exchange rates

d) Domestic consumption

24. Non-performing loans in Chinese banks during the mid-2000s were primarily due to:

a) Consumer defaults

b) Small business failures

c) Excessive loans to state-owned enterprises

d) International lending

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